per cent of their own budgets. The north-eastern states, on the other hand, depend on Central transfers for most of their revenue (as much as 70 per cent of their spending on average).[108] As the North Eastern Council Regional Plan put it, they were 'not economically viable and had to depend heavily on the Central Government for financial assistance, especially Plan assistance, which continues to be given on a 90:10 basis, i.e. 90% is central assistance while the States themselves raise only 10% of the budget'.[109] All the north-eastern states were, therefore, characterised as 'special category states'.[110]

This means that the political party controlling the Central government has always had more leverage in the Northeast than other parties have. The BJP has had this advantage in recent years because 'money plays a big role in our politics', as a veteran political observer in Guwahati put it, speaking on condition of anonymity. 'Our states need monetary help for everything and depend a great deal on Delhi. Sikkim, for instance, has the highest per capita income in the country, but hardly generates any revenue of its own. Without Central government assistance, you will find its people very destitute. The district of Darjeeling alone, with its tea gardens, probably generates more revenue than all the Northeast combined. We have hardly any manufacturing, relatively less farming, few jobs and few revenue-growth programmes in most states, and hence the dependence.'[111] The Central government spends up to ten times more per person each year in the north-eastern states than it spends in other less developed states like Madhya Pradesh or UP. The spending is, on average, ₹55,253 per person per year in Arunachal Pradesh, ₹51,127 in Sikkim, ₹42,276 in Mizoram, ₹34,023 in Nagaland, ₹23,637 in Manipur, ₹20,521 in Tripura and ₹16,070 in Meghalaya. These are huge spends when compared with the average per capita spending in general category states: ₹5,030 (see Table 16.6).

Table 16.6: Delhi Spends Far More on North-eastern States Per Capita Than on Other States[112]